

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR ENGROSSED
SENATE BILL NO. 1338

By: Pugh and Hicks of the
Senate

and

Caldwell (Chad) and
Hasenbeck of the House

COMMITTEE SUBSTITUTE

An Act relating to the education initiatives;
defining terms; providing the Education Impact and
Innovation Revolving Fund shall be used for a
competitive grants pool to fund education initiatives
meant to further and improve the education of
Oklahoma students; directing the State Department of
Education to administer grant program; authoring the
State Board of Education to award one or more
competitive grants to qualifying entities to fund
education initiatives; requiring grants be awarded
based on approved rubric; listing required
information to be submitted in grant applications;
requiring identifying information be removed before
evaluation by Board; requiring use of rubric for
scoring and ranking of grant applications; directing
grant application scores be made public before Board
vote; requiring Board to vote to approve grant
application and amount to be awarded; creating the
Education Impact and Innovation Revolving Fund;
providing for codification; and providing an
effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 3-123.2 of Title 70, unless there is created a duplication in numbering, reads as follows:

A. As used in this section:

1. "Board" means the Oklahoma State Board of Education;

2. "Department" means the Oklahoma State Department of Education; and

3. "Education initiative" means a structured program aimed at improving learning outcomes, solving specific educational challenges, or designed to promote student achievement; and

4. "Qualifying entity" means any for-profit or nonprofit corporation, partnership, limited liability company, association, or any other legal or commercial entity.

B. The Education Impact and Innovation Revolving Fund created pursuant to Section 2 of this act shall be used for a competitive grants pool to fund education initiatives meant to further and improve the education of Oklahoma students. The Department shall administer the competitive grant program. Contingent upon the availability of funds in the Education Impact and Innovation Revolving Fund created pursuant to Section 2 of this act, the Board shall award one or more competitive grants to qualifying entities to fund education initiatives to be implemented within this state.

C. 1. Grants shall be awarded to qualifying entities based on a rubric designed by the Department and approved by the Board.

2. Grant applications shall include, but are not limited to:

- a. a description of the education initiative,
- b. what educational need the education initiative will serve,
- c. the dollar amount requested,
- d. the population to be served,
- e. what metrics will be used to evaluate the efficacy of the education initiative, and
- f. if the education initiative has already been implemented in any school districts within this state, the data from that education initiative and the efficacy of the education initiative.

3. Before any grant application is evaluated by the Board, all identifying information shall be removed from the grant application. The Board shall score grant applications using the approved rubric and rank the applications according to the evaluation score. Final scores of the grant application shall be made public prior to any vote by the Board. The Board shall vote to approve a grant application and the amount to be awarded.

D. The Board shall promulgate rules as necessary to administer the competitive grant program created in this section.

SECTION 2. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 3-123.3 of Title 70, unless there is created a duplication in numbering, reads as follows:

1 There is hereby created in the State Treasury a revolving fund
2 for the State Department of Education to be designated the
3 "Education Impact and Innovation Revolving Fund". The fund shall be
4 a continuing fund, not subject to fiscal year limitations, and shall
5 consist of all monies received by the State Department of Education
6 from appropriations, gifts, grants, donations, and bequests. All
7 monies accruing to the credit of said fund are hereby appropriated
8 and may be budgeted and expended by the State Department of
9 Education for the purpose of implementing the provisions of Section
10 1 of this act. Expenditures from said fund shall be made upon
11 warrants issued by the State Treasurer against claims filed as
12 prescribed by law with the Director of the Office of Management and
13 Enterprise Services for approval and payment.

14 SECTION 3. This act shall become effective November 1, 2026.

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